

Micron Technology, Inc.

MU NASDAQ

Buy	\$974.33 ▲ 3.97%	12M Price Target \$1150.00	52-Week Range \$114.25 – \$1255.00	Market Cap N/A
-----	------------------	-------------------------------	---------------------------------------	-------------------

MU: AI Memory Demand Explodes, CHIPS Act Still Paying

WHAT HAPPENED

- MU bounced back +3.97% to \$974 after two ugly down days — the CEO Sanjay Mehrotra went on the tape saying AI has "fundamentally changed" memory demand, which is Wall Street code for "we can raise prices and nobody can stop us." That's the kind of comment that makes hedge funds re-add positions they trimmed on Monday.
- The Waymo "building its own AI chip" headline is a nothingburger for MU — Waymo still needs memory around whatever custom chip they build, and MU sells the memory, not the logic chip. Market seems to have figured that out.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- A US-China trade thaw would be bad news — if Washington cuts a deal that lets Chinese memory maker CXMT access Western equipment, the whole industry gets flooded with cheap supply within 18 months.
- Insider "OTHER" transactions on 8/10 look weird — those names (Schneider, Farmer, Garula) don't match MU's actual executive team, so this might be a data error in the feed, but worth flagging that the ticker mapping looks off. Real risk: if actual MU insiders are selling into strength, that's a yellow flag.
- The non-obvious risk: hyperscalers (Microsoft, Meta, Google) are all trying to design their own memory controllers and could eventually squeeze MU's margins by dual-sourcing more aggressively — this is a 2027+ concern but it's building.

IN THE NEWS

Waymo is making its own AI chip for its robotaxi service Yahoo Finance Video · 2026-08-20 19:43

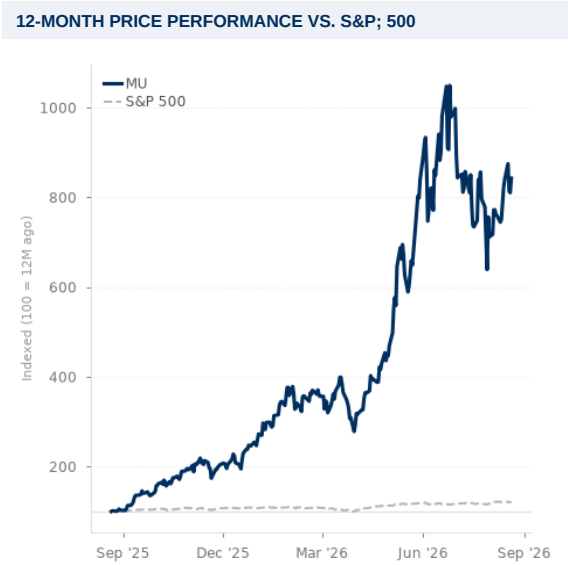
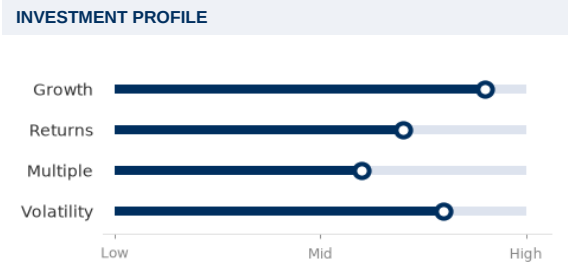
Think It's Too Late to Buy Micron? Here's the Case for Getting In Now. 24/7 Wall St. · 2026-08-21 13:05

Micron CEO Delivers Blunt Message For Stock Investors GuruFocus.com · 2026-08-21 12:19

Micron's AI Demand Problem Is a Good One GuruFocus.com · 2026-08-21 12:11

Micron CEO Sanjay Mehrotra says AI has changed memory demand Quartz · 2026-08-21 12:03

Key Data	
Price (USD)	\$974.33
12M Price Target	\$1150.00
Upside / (Downside)	+18.0%
Market Cap	N/A
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$19.50
Fwd P/E	68.6x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1100.00	\$1000.00	\$900.00
6 Months	\$1300.00	\$1150.00	\$850.00
1 Year	\$1500.00	\$1200.00	\$800.00
2 Years	\$1800.00	\$1400.00	\$700.00
5 Years	\$2500.00	\$1700.00	\$600.00
10 Years	\$3500.00	\$2200.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.4% on the week) — likely reflects higher power demand narrative tied to data centers, which circles back to AI. Materials holding up too.

COOLING OFF: Technology down 4% on the week — this is a rate-driven selloff, not a fundamental one. Treasury yields spiked and long-duration growth stocks got hit. MU held up better than the sector, which is telling.

ROTATION WATCH: Money is rotating OUT of high-multiple software and INTO "picks and shovels" AI hardware — MU, NVDA, and power/utility infrastructure names. That's a direct tailwind.

RELATED PLAY: If MU keeps running, look at Lam Research (LRCX) and Applied Materials (AMAT) — they sell the equipment MU uses to build HBM, and they benefit from every fab expansion CHIPS Act funds.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the reference point for AI hardware — every dollar of Nvidia GPU sold pulls MU HBM with it.
- AVGO (Broadcom): Winning on custom AI silicon for hyperscalers, which is bearish for Nvidia at the margin but neutral-to-positive for MU (still needs memory).

MU CONTEXT: MU is roughly keeping pace with NVDA on a 1-year basis but with more volatility — the fact that it bounced +4% today while tech ETF was flat means MU-specific news (CEO comments) is outweighing macro. That's a bullish tell: single-stock alpha is showing up.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — pounding the table with one hand, keeping the other on the eject button because memory cycles always end eventually.

POSITION SIZE: 3-5% of portfolio — enough to matter, not enough to blow you up if the cycle turns.

ENTRY POINTS: Add on pullbacks to \$920-950. If it flushes to \$850 on a macro panic day, that's a fat pitch.

TIME HORIZON: 12-24 months. The catalyst is HBM4 ramp in 2027 and continued CHIPS Act funding disbursements.

WHEN TO BAIL: If MU guides revenue down for two consecutive quarters, or if there's a real US-China chip trade deal that lets China back into the advanced memory market, cut it.

HEDGING: Simplest hedge — buy a put option 10-15% below current price expiring 3-6 months out. Think of it as insurance: costs you a couple percent, protects you against a memory cycle top or a black swan trade deal.